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POLICY NUMBER: FP-OPSFIN-120

Accounts Receivable Credit Arrangements

This policy includes guidelines for granting and monitoring credit arrangements.

POLICY STATEMENT

Credit will only be extended to customers who have been thoroughly checked for credit worthiness. All Hotels will maintain effective controls over the granting of credit and subsequent collection of payment to optimize cash flow and to minimize bad debt write-offs.

Issuance of credit or extended payment options will be offered at the discretion of Hotel Management with the guidance of centralized credit functions where applicable. The Hotel must ensure that credit or extended payment options are issued in accordance with this policy.

It is the responsibility of the Operations Leader and their Executive Committee to ensure that all credit policies are followed to protect the Hotel against non-payment for goods and services. Ultimate responsibility to ensure that the credit approval procedures are being followed is that of the Operations Leader.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. SALES CONTRACT GUIDANCE

- 1) All bookings should use the standard Hilton sales contract signed by the authorized customer representative and authorized Hilton Team Member. The sales contract should identify the individual authorized and responsible for payment.
- 2) One of the following methods of payment must be established within the contract:
 - a) Advance Payment – Payment is received prior to the arrival / commencement of the event. Refer to FP-OPSFIN-122 Accounts Receivable Deposits for further guidance.
 - b) Direct Bill - A credit arrangement is established between the Hotel and the client pending credit worthiness evaluation.

B. CREDIT APPLICATION GUIDANCE

- 1) If the client requests direct billing, Sales/Catering/Event Services is to provide a completed Credit Application to Finance to begin the credit worthiness evaluation process. In some regions, credit applications are maintained centrally, i.e. "Hilton Worldwide Sales Accounts and do not require the Hotel to obtain a credit application from the client, but a credit evaluation must still be performed.
- 2) Finance must confirm approved credit arrangements in advance of the event / arrival or Sales/Catering/Event Services must obtain an alternative payment method from the client.
- 3) When researching the client's credit worthiness, the following are sources to take into consideration:
 - a) Prior credit history with Hotels in the Hilton portfolio
 - b) Value of requested credit
 - c) Trade references
 - d) Credit agency ratings (e.g., Dun & Bradstreet or other credit institutions relevant to the country)
 - e) Hotel Association credit rating
 - f) Central Corporate Credit Resources

ACCOUNTS RECEIVABLE CREDIT ARRANGEMENTS

- 4) All credit arrangements must be approved in accordance with the property's relevant regional matrix (section E, F, G, or H).
- 5) It is the responsibility of Sales/Catering/Event Services to ensure that the client is approved for direct bill status prior to the event or obtain an alternative form of payment from the client.
- 6) Annually, credit must be assessed for all repeat clients with credit arrangements. Hotel Management is to review the listing of all direct bill clients and confirm if credit should be granted for another annual period. This listing is to include the amount of approved credit, comments relating to the business volume, and each client's payment history. This listing is to be signed by the Finance Leader, Commercial Leader, and Operations Leader, and kept on file.

The following are examples of payment / credit arrangements per type of customer / event:

- a) Personal/Individual account - Credit card authorization or advance deposit must be received.
- b) Company & Travel Agent account - Before credit is granted, a Credit Application must be completed and the company's credit worthiness must be evaluated as outlined in this policy. **US Hotels Only:** The only exception is where Irrevocable Letters of Credit are maintained centrally.
- c) Private Organization Account/Social Events - These events are generally for weddings, private parties, reunions, charitable functions, etc. Credit is not appropriate for these types of events.
- d) Government Account - These accounts typically require a purchase order; however, appropriate procedures must be established with the paying government office. A Credit Application is not required when a purchase order is provided but credit approval by the Finance Leader and Operations Leader is still required and must follow the applicable guidance of the Approval Matrix below if further approval is required.
- e) Airlines/Contract Accounts – These accounts typically require a corporate Hilton approved sales contract and Corporate Credit review. Special attention must be given where paid outs to Crew Members (when required a rolling deposit should be requested) and the settlement of incidentals from the Crew Members must be made upon check out. Airline Crew Customers as part of the contract should be requested to guarantee incidentals of the Crew Members. Before credit is granted a Credit Application must be completed and the company's credit worthiness checked as outlined in this policy.
- f) Political Functions – These are generally for fund raising parties, campaigns, etc. Credit is generally not appropriate for these types of events. If credit is requested the Operations Leader must ensure satisfactory financial arrangements are made. The Operations Leader shall, before granting credit, determine that the individuals guaranteeing payment of the account are financially responsible. Also, any payment guarantee must be clearly worded and signed by those to be held responsible for payment. If any legislation exists whereby an unpaid account could be interpreted as an illegal political contribution, the political event cannot be written off without the approval of Corporate Legal Counsel.

C. CREDIT LIMIT MONITORING

- 1) A control must be in place to monitor account balances to ensure that spending levels are within the approved credit limits. If a client/group exceeds their approved spending limit, Hotel Management must decide whether or not to allow the client to incur additional charges.
- 2) Finance Leader and Operations Leader must decide if additional credit is granted and document their approval. If not, a supplemental form of payment must be secured immediately (e.g., credit card, cash, cashier's check, etc.).

D. CREDIT COMMITTEE

- 1) A Credit Committee Meeting must be held monthly.
- 2) The Operations Leader and the Finance Leader (or designee) must be in attendance at all Credit Committee Meetings. The minutes must be recorded/distributed and include a listing of Credit Committee members present and absent.
- 3) The Credit Committee Members are assigned by the Operations Leader and should include:
 - a) Operations Leader
 - b) Finance Leader
 - c) Credit Manager or designee
 - d) Front Office/Revenue representation
 - e) Sales/Convention Events representation
 - f) Catering/Social Events representation
- 4) The Credit Committee Meeting topics should include the following:
 - a) Prior meeting minutes for any action items
 - b) Overall status of AR aging, including House and Group Master Accounts
 - c) Specific accounts approaching / exceeding approval limits
 - d) Specific accounts with collection issues
 - e) If there is a concern regarding the financial position of a client or the hotel is made aware of events which have come to light concerning the client's credit worthiness
 - f) Accounts to be written-off (Reference FP-OPSFIN-125 Bad Debt Reserve & Write Offs)
 - g) Accounts approved or denied for credit since last meeting
 - h) Major accounts regarding payment history, financial stability, etc.
 - i) Any accounts that may represent a risk for other Hilton properties and assign communication responsibilities
 - j) Instances of non-compliance with Credit policies and document required next steps

E. CREDIT OVERRIDE APPROVAL GUIDANCE – US & PR

- 1) The US & PR standard credit approval is initially performed centrally by the Credit Investigations Team.
- 2) If the Credit Investigations Team's approved credit limit is insufficient, the ultimate business decision of credit worthiness resides with the Operations Leader. Properties can make a business decision to override the credit facts with documented approval of both the Operations Leader and the Finance Leader and additional approvers as dictated by the matrix below.
- 3) Written approval and rationale for the exception must be documented and maintained by the Finance Leader as support for the override.

Credit Override Matrix (amounts below indicate the amount above and beyond the initially approved credit limit)

Hotel size	Limits	Operations Owner	Finance Owner
	>\$5,000,000	Area President	SVP of Operations Finance
	Up to \$5,000,000	Area President	Area VP Operations Finance
	Up to \$2,000,000	Area President	Regional Director of Operations Finance
>1,000 Keys	Up to \$1,000,000	Operations Leader	Finance Leader
500-1,000 Keys	Up to \$750,000	Operations Leader	Finance Leader
300-499 Keys	Up to \$500,000	Operations Leader	Finance Leader
<300 Keys	Up to \$250,000	Operations Leader	Finance Leader

**For example, a hotel with less than 300 keys can approve up to \$250,000 of additional credit with the Operations and Finance Leaders' approval. Anything above \$250,000, but less than \$2,000,000 must be approved by the Area President and Regional Finance Director and so forth.*

F. CREDIT APPROVAL GUIDANCE – UK&I

- 1) The UK standard credit approval criteria as performed by SSC and CoE Glasgow in conjunction with recommendations from our preferred Credit Rating Agency, may not always be appropriate and other factors may be relevant to the final decision to grant credit. A credit exception process is in place and a commercial business case may be presented for consideration in certain cases, following the below requirements and appropriate authorization.
- 2) A credit limit exception request will be assessed using the latest credit recommendation report showing the customer/company's current financial status along with one or more of the following:
 - a) Commercial business case. (To be completed by the Hotel's Commercial team or relevant individuals)
 - b) Bank guarantee issued by the customer's bank to Hilton bank
- 3) All relevant documentation, with the appropriate approvals attached, must be e-mailed to **gcoe.otc.customerdata@hilton.com** for review and consideration. The paperwork will be retained locally in shared network drive by the CoE OTC team and an email decision will be provided to all parties involved.
- 4) Credit Limit Exceptions are authorized by Sales/Operations and Finance; limits and guidelines for authorization levels are outlined in the matrix below:

* In the event that the applicant is refused credit by CoE Glasgow, UK&I Operations Leaders have the discretion to grant "non-credit approved" clients up to £5k without following the above process. Authorized documentation (a non-credit approved account form) should be retained on file for these types of applications.

Credit Override Matrix (amounts below indicate the amount above and beyond the initially approved credit limit)

Credit Limit Exceptions	Authority Level C	Authority Level B	Authority Level A
Sales / Operations	Sales Director		
	Operations Leader (For Non - Sales Account Managed customers only)	VP Operations	SVP Operations
	Senior Accounts/Sales Manager		
Finance	CoE OTC Senior Manager	Regional Finance Director	VP Ops Finance

- 1. For accounts which exceed the credit recommendation by up to £10k, 2 "C" signatories and above can approve **(1 Finance and 1 Sales / Ops required)**
- 2. For accounts which exceed the credit recommendation by up to £300k (and absolute credit amount of less than £1m), 2 "B" signatories and above can approve **(1 Finance and 1 Sales / Ops required)**
- 3. For accounts which exceed the credit recommendation by more than £300k (or absolute credit amount of more than £1m), 2 "A" signatories can approve **(1 Finance and 1 Sales / Ops required)**

G. CREDIT APPROVAL GUIDANCE – EMEA (excluding UK & I)

- 1) For EMEA properties (excluding UK&I), the following levels of approval are required prior to granting credit unless specific centralized procedures have been approved by the Regional Finance Director.
- 2) All approvals must be evidenced in writing or electronically, which may be a physical signature, electronic approval or email directly from the approver's email address. Verbal direction does not constitute an approval for the purpose of this policy.

Hotel size	Limits	Operations Owner	Finance Owner
	>\$2,500,000	Area President	SVP of Operations Finance
	Up to \$2,500,000	Area VP Operations	Area VP Operations Finance
	Up to \$1,000,000	Operations Leader	Regional Finance Director
>1,000 Keys	Up to \$500,000	Operations Leader	Finance Leader
500-1,000 Keys	Up to \$375,000	Operations Leader	Finance Leader
300-499 Keys	Up to \$250,000	Operations Leader	Finance Leader
<300 Keys	Up to \$125,000	Operations Leader	Finance Leader

**For example, a hotel with less than 300 keys can approve up to \$125,000 of credit with the Operations and Finance Leaders' approval. Anything above \$125,000, but less than \$1,000,000 must be approved by the Operations Leader and Regional Finance Director and so forth.*

H. CREDIT APPROVAL GUIDANCE – REST OF WORLD

- 1) For properties not covered in the sections above, the following levels of approval are required prior to granting credit unless specific centralized procedures have been approved by the Regional Finance Director.
- 2) All approvals must be evidenced in writing or electronically, which may be a physical signature, electronic approval or email directly from the approver's email address. Verbal direction does not constitute an approval for the purpose of this policy.

Hotel size	Limits	Operations Owner	Finance Owner
	>\$5,000,000	Area President	SVP of Operations Finance
	Up to \$5,000,000	Area President	Area VP Operations Finance
	Up to \$2,000,000	Regional VP Operations	Regional Finance Director
>1,000 Keys	Up to \$1,000,000	Operations Leader	Finance Leader
500-1,000 Keys	Up to \$750,000	Operations Leader	Finance Leader
300-499 Keys	Up to \$500,000	Operations Leader	Finance Leader
<300 Keys	Up to \$250,000	Operations Leader	Finance Leader

**For example, a hotel with less than 300 keys can approve up to \$250,000 of credit with the Operations and Finance Leaders' approval. Anything above \$250,000, but less than \$2,000,000 must be approved by the Regional VP Operations and Regional Finance Director and so forth.*

- 3) Hotel Management is permitted to grant one-off credit arrangement for last minute additions /bookings based on internal credit worthiness evaluation, which must be documented.

DEFINITIONS	
TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager)